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CALU Practice Note

Best practices for insured leveraging programs – Part II

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The tax shelter rules

Similar to the reportable transaction rules, the tax shelter rules were enacted to deter tax avoidance through aggressive investment structures. The rules have been amended over the years to expand their application to new tax planning structures. While there have been no reported tax cases involving the application of the tax shelter rules to life insurance planning arrangements, there have been several CRA technical interpretations that will be discussed below. In addition, the enhanced mandatory reporting rules discussed above may draw the CRA's attention to insurance arrangements that might fall within the tax shelter definition.

The following discussion is intended to provide a high-level overview of the tax shelter rules and discuss advisor/client best practices to minimize the potential application of these rules to EFAs.

What is a tax shelter?

Three elements need to be satisfied for the arrangement to be treated as a tax shelter:⁷⁸

⁷⁸ Definition of tax shelter in subsection 237.1(1).



- a) **Property requirement** – to be a tax shelter there must be the acquisition of “property”. Property is defined very broadly under the Act⁷⁹ and can include a life insurance policy or property acquired as a result of a loan. It is also possible that “property” for purposes of these rules can include multiple properties where they are an “inseparable whole”.⁸⁰ It is relatively clear that the “acquisition of property” requirement will be met where a client enters into a leveraged insurance program. However, identifying what is the “property” that is being acquired as part of the insured leveraged program is essential for purposes of determining if the other two components of the tax shelter definition apply. When dealing with insured leveraged programs, the “property” is likely the investments acquired from leveraging the insurance policy rather than the insurance policy itself. But it might be argued that both the life insurance policy and investments are the “property” if it is found they are inextricably linked and inseparable. This would be positive for purposes of the tax shelter rules as the premiums payable for the policy would be included in the “cost” of the property under the Mathematical Requirement discussed below.

Discussion - the Property Requirement is satisfied under an EFA. The main issue is whether the life insurance policy is also included in the “property” being acquired by the purchaser.⁸¹

- b) **Representation requirement** - to be a tax shelter, the promoter or a person acting on behalf of the promoter must have made statements or representations to the prospective purchaser that the amounts deductible as a consequence of participating in the acquisition of the property would satisfy the Mathematical Requirement discussed below.⁸² Such communications can be verbal or written in nature. The representations do not need to quantify the actual amount of tax benefits but just provide sufficient detail to permit the purchaser to understand the nature of the tax benefits. It is also important to note that the intention or motivation of the actual purchaser is not relevant – what is important is that the promoter has made or “proposed to make” statements that deal with the tax benefits of the arrangement.

Discussion - The Representation Test might be avoided if the insurance advisor makes no verbal or written representations (including those contained in marketing materials or illustrations) which outline the tax deductions available to the client under the EFA. Instead, this should be left to the purchaser’s tax advisors to explain and quantify. However, it is recognized that in practice it is difficult to illustrate an EFA without considering the available tax deductions and therefore the Representation Test will often be satisfied.

As noted, the CRA has indicated that where a purchaser receives tax advice from a lawyer or accountant, that advice will not normally amount to “statements or representations”. However, where the lawyer or

⁷⁹ See definition of property in subsection 248(1).

⁸⁰ Hexalog Ltd. v. Her Majesty the Queen, 2005 TCC 67.

⁸¹ See discussion below relating to insured annuities, where the CRA did not consider the life insurance policy to be part of the “property” for purposes of the tax shelter rules.

⁸² The case law dealing with the tax shelter legislation has indicated that tax advice from the client’s lawyer or accountant does not amount to “statements or representations” and they will not be considered to be a promoter in respect of the reporting obligations. However, if the lawyer or accountant is “promoting” the shelter to clients and recruiting potential investors they will be considered promoters and subject to reporting obligations.



accountant is advising the client on behalf of the insurance advisor, or assisting in the recruiting of purchasers, their statements and representations will likely meet the requirements of this test.

- c) **Mathematical requirement** - the Mathematical Requirement will generally be satisfied if, in any of the first four taxation years after the date on which the property is acquired, the total of amounts represented to be deductible (or deemed to be paid on account of taxes payable) in computing the taxpayer's income in respect of the property during that year or a preceding year, equals or exceeds the cost of the interest in the property at the end of that particular year.⁸³ The cost of the property will be reduced by any "prescribed benefit" received by entering into the agreement. This test is to be applied at the end of each of the four years, and if the test is satisfied in any of those years the mathematical requirement is met. Should the property include life insurance, the exemption from the accrual rules and credit to the CDA would not be considered as they are not deductions under the Act. However, the interest expense deduction⁸⁴ or the collateral insurance deduction⁸⁵ would be included in the Mathematical Requirement for insured leveraged programs.

Prescribed benefits - Prescribed benefits is a component of the Mathematical Requirement described above and requires additional discussion. As noted, any prescribed benefit received by the taxpayer will reduce the cost of the property and can therefore result in the failure of the Mathematical Requirement. A broad range of indebtedness used to finance the acquisition of a tax shelter property may be treated as a prescribed benefit if such indebtedness is deemed to be a limited recourse amount.⁸⁶ To avoid being treated as a limited recourse amount the following must be present:

- there are bona fide arrangements evidenced in writing for repayment by the debtor of the debt and all interest within a reasonable period **not exceeding 10 years**; and
- interest is payable at least annually at a rate equal to or greater than the lesser of the **prescribed rate** in effect at the time the debt arose and the prescribed rate applicable from time to time during the term of the debt, and such interest is paid no later than 60 days after the end of each taxation year of the borrower.

The CRA has expressed the view that a demand loan is a limited recourse amount and therefore a prescribed benefit.⁸⁷ On the other hand, the CRA has indicated that financial projections showing a loan outstanding for a period greater than 10 years was not determinative of whether the loan is a limited recourse loan, although it may be a factor to be considered.⁸⁸ The CRA has also indicated that the amount of the prescribed benefit may include the total debt expected to be outstanding for more than 10 years, not just the loan over the 4-year calculation period.⁸⁹ However, this will not be relevant if the

⁸³ It is whether the amount is deductible that is relevant. The fact that a deduction is not actually claimed is not considered in this formula.

⁸⁴ Paragraph 20(1)(c).

⁸⁵ Paragraph 20(1)(e.2).

⁸⁶ Subsections 143.2(1), (7) or (13).

⁸⁷ CRA Advance Tax Ruling 2009-0340381R3 (2010).

⁸⁸ CRA TI 2006-0196251C6 dated October 6, 2006.

⁸⁹ CRA TI 2008-0302981E5 dated June 7, 2009.



loan has a repayment period not exceeding 10 years. Secondary loans may also be included as a prescribed benefit depending on the terms and conditions of the loan.

In terms of the requirement to pay interest annually, the CRA might take the view that paying the loan by increasing the amount of the debt outstanding may not be sufficient. It is important to actually pay the interest to meet this requirement.

Discussion - Ensuring the term of the loan is less than 10 years is essential to avoiding the loan under an EFA being treated as a prescribed benefit, which otherwise can result in the failure of the Mathematical Requirement. The loan documentation should therefore clearly indicate that the term of the loan is less than 10 years and other documentation/illustrations also indicate this is the case. It is similarly important that the loan documentation not provide for the automatic renewal at the end of the term. Instead, a new loan should be extended that is subject to the lender's regular credit requirements applicable to new borrowers. In addition, the loan interest being charged should be equal to or greater than the prescribed rate and the loan interest be paid at least annually and no later than 60 days after the end of the borrower's taxation year.

CRA's commentary on the tax shelter rules and leveraged insurance/annuity arrangements

The CRA was asked to consider a situation where an individual taxpayer purchased a \$1.5 million exempt life insurance policy as well as a \$2 million life annuity on their life. The life annuity was funded with \$500,000 of personal funds and borrowed funds for the remainder. The bank could demand the loan be repaid at any time and the borrower could also repay the loan at any time. The loan was illustrated to be in place until the death of the life insured and initially provided a fixed interest rate for 10 years. The CRA was asked if the tax shelter rules applied to this arrangement. The CRA indicated that this was a question of fact and that they could not confirm if the tax shelter rules applied to the life annuity (the CRA did not comment on the life insurance policy that was part of this arrangement). However, the CRA did indicate that the demand loan could be considered to be a prescribed benefit if it is established that there were no bona fide arrangements, evidenced in writing and made at the time the indebtedness arose, for repayment of the indebtedness by the borrower within a reasonable period not exceeding ten years.⁹⁰

In a subsequent CRA advance ruling request it was confirmed that while the tax shelter rules could apply to leveraged insured annuity arrangements, on the facts of the particular case the arrangement was not a tax shelter because the taxpayer used some personal capital to acquire the life annuity.⁹¹ In other words, the Mathematical Requirement did not apply.

The CRA responses appear to confirm that life annuities can be considered "property" for purposes of the tax shelter rules. It is also of interest to note that the CRA did not consider the life insurance policy acquired as part of the arrangement to be part of the property being acquired for purposes of the tax shelter rules.

⁹⁰ CRA TI 2006-0196251C6 dated October 6, 2006 (French).

⁹¹ CRA TI 2009-0340381R3 (2010) (French).



Reporting obligations and penalties

If the investment arrangement falls with the meaning of a “tax shelter”,⁹² promoters⁹³ are required to register these investments with the CRA.⁹⁴ Promoters are not permitted to sell, issue or accept consideration in respect of a tax shelter without first obtaining an identification number from the CRA.⁹⁵ Promoters who fail to meet the reporting and disclosure requirements are subject to penalties.⁹⁶ In addition, the purchaser of a tax shelter will be denied access to all tax deductions and claims that are otherwise available, where the investment is not properly registered as a tax shelter and/or the appropriate filing has not been made to the CRA.⁹⁷

Registration itself does not mean that the tax benefits arising from the arrangement will not be challenged by the CRA. In fact, registration will likely result in CRA scrutiny and the potential for taxpayer assessments if they disagree with the “promised” tax benefits arising from the tax shelter. As well, registration may result in other rules applying that effectively limit the availability of deductions and other tax benefits.⁹⁸

⁹² Defined in subsection 237.1(1).

⁹³ Defined in subsection 237.1(1) to mean a person who in the course of a business sells or issues, or promotes the sale, issuance or acquisition of, a tax shelter; acts as an agent or advisor in support of such activities; or accepts consideration in respect of the tax shelter.

⁹⁴ Subsection 237.1(2).

⁹⁵ Subsection 237.1(4). There are other reporting obligations specified in subsection 237.1(5) and (7).

⁹⁶ Subsections 237.1(7.4) and (7.5). The penalties are generally equal to the greater of \$500 and 25% of either the total of all consideration received or receivable by a person in respect of the tax shelter or the total of all amounts stated or represented to be the value of the property.

⁹⁷ Subsection 237.1(6).

⁹⁸ Subsection 143(2) applies to a “tax shelter investment”.